Lawrence B. Somers
Deputy General Counsel

Mailing Address:
NCRH 20 / P.O. Box 1551
Raleigh, NC 27602

o: 919.546.6722
f: 919.546.2694

bo.somers@duke-energy.com

OFFICIAL COPY

Jul 31 2018

July 31, 2018

VIA ELECTRONIC FILING

Ms. M. Lynn Jarvis
Chief Clerk
North Carolina Utilities Commission
4325 Mail Service Center
Raleigh, North Carolina 27699-4300

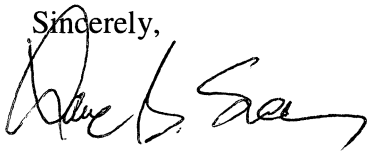
RE: Application of Duke Energy Carolinas, LLC for Adjustment of Rates and Charges Applicable to Electric Utility Service in North Carolina Docket No. E-7, Sub 1146

Dear Ms. Jarvis:

On July 27, 2018, the Commission issued its *Order Approving Compliance Filing and Change in Rates* in connection with the referenced matter. Since that time and after consultation with the Public Staff, Duke Energy Carolinas, LLC ("DEC") has identified changes needed to its Fuel Cost Adjustment Rider (NC) in order for municipal customers on lighting Schedules GL and PL to remain fuel neutral from the fuel rate changes otherwise effective August 1, 2018. Accordingly, I enclose a redlined and clean version of DEC's revised Fuel Cost Adjustment Rider, along with a revised Summary of Rider Adjustments to reflect these revisions, for filing and approval by the Commission. DEC will hand deliver five (5) copies of the rate schedules to the Clerk's office tomorrow.

Thank you for your attention to this matter. If you have any questions, please let me know.

Sincerely,



Lawrence B. Somers

cc: Parties of Record

OFFICIAL COPY

Jul 31 2018

FUEL COST ADJUSTMENT RIDER (NC)

APPLICABILITY (North Carolina Only)

Service supplied under the Company's rate schedules are subject to approved fuel charge adjustments, if any, over or under the Rate set forth in the approved rate schedules. Adjustments are made pursuant to North Carolina General Statute 62-133.2 and North Carolina Utilities Commission Rule R8-55 as ordered by the North Carolina Utilities Commission.

BASE FUEL COSTS

Effective August 1, 2018, the Base Fuel Cost established in Docket No. E-7, Sub 1146 are: Residential:–1.7828¢ per kilowatt hour, General Service/Lighting:–1.9163¢ per kilowatt hour (except rate schedules GL/PL which is 2.3182¢ per kilowatt hour) and Industrial:–2.0207¢ per kilowatt hour. These amounts are included in the energy charges of the Company's rate schedules.

FUEL COST ADJUSTMENT AND EXPERIENCE MODIFICATION FACTOR

All service supplied under the Company's rate schedules is subject to an increment per kilowatt hour as set forth below. This adjustment is not included in the Rate Schedules of the Company and therefore, must be applied to the bill as calculated under the applicable rate.

RESIDENTIAL SERVICE	Fuel and Fuel Related Costs August 1, 2018
Adjustment to Residential	-0.0000 ¢/kWh
Experience Modification Factor & Interest	-0.1081 ¢/kWh
Net Fuel Rider Factor	-0.1081 ¢/kWh
Regulatory Fee Multiplier	X 1.001402
Fuel Cost Adjustment Factor	-0.1083 ¢/kWh

GENERAL SERVICE AND LIGHTING[(1)]	Fuel and Fuel Related Costs August 1, 2018
Adjustment to General Service and Lighting	-0.0000 ¢/kWh
Experience Modification Factor& Interest	-0.0764 ¢/kWh
Net Fuel Rider Factor	-0.0764 ¢/kWh
Regulatory Fee Multiplier	X 1.001402
Fuel Cost Adjustment Factor	-0.0765 ¢/kWh

INDUSTRIAL SERVICE	Fuel and Fuel Related Costs August 1, 2018
Adjustment to Industrial	-0.0000 ¢/kWh
Experience Modification Factor & Interest	-0.0711 ¢/kWh
Net Fuel Rider Factor	-0.0711 ¢/kWh
Regulatory Fee Multiplier	X 1.001402
Fuel Cost Adjustment Factor	-0.0712 ¢/kWh

(1) The applicable Total Fuel Cost Adjustment Factor for Rate Schedules GL and PL is -0.4790 ¢/kWh.

Formatted: Superscript

Formatted: List Paragraph, Numbered + Level: 1 + Numbering Style: 1, 2, 3, … + Start at: 1 + Alignment: Left + Aligned at: 0.25" + Indent at: 0.5"

Formatted: Font: 9 pt

OFFICIAL COPY
Jul 31 2018

FUEL COST ADJUSTMENT RIDER (NC)

APPLICABILITY (North Carolina Only)

Service supplied under the Company's rate schedules are subject to approved fuel charge adjustments, if any, over or under the Rate set forth in the approved rate schedules. Adjustments are made pursuant to North Carolina General Statute 62-133.2 and North Carolina Utilities Commission Rule R8-55 as ordered by the North Carolina Utilities Commission.

BASE FUEL COSTS

Effective August 1, 2018, the Base Fuel Cost established in Docket No. E-7, Sub 1146 are: Residential: 1.7828¢ per kilowatt hour, General Service/Lighting: 1.9163¢ per kilowatt hour (except rate schedules GL/PL which is 2.3182¢ per kilowatt hour) and Industrial: 2.0207¢ per kilowatt hour. These amounts are included in the energy charges of the Company's rate schedules.

FUEL COST ADJUSTMENT AND EXPERIENCE MODIFICATION FACTOR

All service supplied under the Company's rate schedules is subject to an increment per kilowatt hour as set forth below. This adjustment is not included in the Rate Schedules of the Company and therefore, must be applied to the bill as calculated under the applicable rate.

RESIDENTIAL SERVICE	Fuel and Fuel Related Costs August 1, 2018
Adjustment to Residential	0.0000 ¢/kWh
Experience Modification Factor & Interest	-0.1081 ¢/kWh
Net Fuel Rider Factor	-0.1081 ¢/kWh
Regulatory Fee Multiplier	X 1.001402
Fuel Cost Adjustment Factor	-0.1083 ¢/kWh

GENERAL SERVICE AND LIGHTING[(1)]	Fuel and Fuel Related Costs August 1, 2018
Adjustment to General Service and Lighting	0.0000 ¢/kWh
Experience Modification Factor& Interest	-0.0764 ¢/kWh
Net Fuel Rider Factor	-0.0764 ¢/kWh
Regulatory Fee Multiplier	X 1.001402
Fuel Cost Adjustment Factor	-0.0765 ¢/kWh

INDUSTRIAL SERVICE	Fuel and Fuel Related Costs August 1, 2018
Adjustment to Industrial	0.0000 ¢/kWh
Experience Modification Factor & Interest	-0.0711 ¢/kWh
Net Fuel Rider Factor	-0.0711 ¢/kWh
Regulatory Fee Multiplier	X 1.001402
Fuel Cost Adjustment Factor	-0.0712 ¢/kWh

(1) The applicable Total Fuel Cost Adjustment Factor for Rate Schedules GL and PL is -0.4790 ¢/kWh.

OFFICIAL COPY

Jul 31 2018

SUMMARY OF RIDER ADJUSTMENTS

The following is a summary of Rider Adjustments that must be added to the bill calculated on the applicable rate schedule in order to compute the bill. The factors shown below include revenue-related taxes and regulatory fees. More specific information concerning these Riders is contained in the applicable Rider listed below.

Residential Schedules RS, RE, ES, RT, WC	**cents/kWh**	**Effective Date**
EDIT-1 Rider	-0.1049	8/1/18
Fuel Cost Adjustment Rider	-0.1083	8/1/18
Energy Efficiency Rider	0.5529	1/1/18
Existing DSM Program Costs Adjustment Rider	-0.0055	7/1/18
Coal Inventory Rider	0.0004	8/1/18
BPM Prospective Rider	-0.0078	7/1/18
BPM True-Up Rider	0.0067	7/1/18
TOTAL cents/kWh	**0.3335**	

General Service Schedules SGS, BC, LGS, TS, S, OPT-E, OPT-V, PG	**cents/kWh**	**Effective Date**
EDIT-1 Rider	-0.1049	8/1/18
Fuel Cost Adjustment Rider	-0.0765	8/1/18
Energy Efficiency Rider	0.6238	1/1/18
Existing DSM Program Costs Adjustment Rider	-0.0055	7/1/18
Coal Inventory Rider	0.0004	8/1/18
BPM Prospective Rider	-0.0078	7/1/18
BPM True-Up Rider	0.0067	7/1/18
TOTAL cents/kWh	**0.4362**	

Lighting Schedules PL, GL	**cents/kWh**	**Effective Date**
EDIT-1 Rider	-0.1049	8/1/18
Fuel Cost Adjustment Rider	-0.4790	9/1/17
Energy Efficiency Rider	0.0000	1/1/18
Existing DSM Program Costs Adjustment Rider	-0.0055	7/1/18
Coal Inventory Rider	0.0004	8/1/18
BPM Prospective Rider	-0.0078	7/1/18
BPM True-Up Rider	0.0067	7/1/18
TOTAL cents/kWh	**-0.5901**	

Lighting Schedules OL, NL	**cents/kWh**	**Effective Date**
EDIT-1 Rider	-0.1049	8/1/18
Fuel Cost Adjustment Rider	-0.0765	8/1/18
Energy Efficiency Rider	0.0000	1/1/18
Existing DSM Program Costs Adjustment Rider	-0.0055	7/1/18
Coal Inventory Rider	0.0004	8/1/18
BPM Prospective Rider	-0.0078	7/1/18
BPM True-Up Rider	0.0067	7/1/18
TOTAL cents/kWh	**-0.1876**	

Industrial Schedules I, OPT-E, OPT-V, PG	**cents/kWh**	**Effective Date**
EDIT-1 Rider	-0.1049	8/1/18
Fuel Cost Adjustment Rider	-0.0712	8/1/18
Energy Efficiency Rider	0.6238	1/1/18
Existing DSM Program Costs Adjustment Rider	-0.0055	7/1/18
Coal Inventory Rider	0.0004	8/1/18
BPM Prospective Rider	-0.0078	7/1/18
BPM True-Up Rider	0.0067	7/1/18
TOTAL cents/kWh	**0.4415**	

* Qualifying customers who have opted out of the Company's Energy Efficiency and/or Demand Side Management Programs are not subject to the applicable Energy Efficiency Rider charges based on the individual customer's opt-out election. Refer to Rider EE to determine the Rider EE amount, if any applicable to customers who have opted out.

OFFICIAL COPY
Jul 31 2018

SUMMARY OF RIDER ADJUSTMENTS

Schedule HP – General Service	cents/kWh Baseline	cents/kWh Incremental	Effective Date
EDIT-1 Rider	-0.1049	-0.1049	8/1/18
Fuel Cost Adjustment Rider	-0.0765	0.0000	8/1/18
Energy Efficiency Rider	0.6238	0.6238	1/1/18
Existing DSM Program Costs Adjustment Rider	-0.0055	-0.0055	7/1/18
Coal Inventory Rider	0.0004	0.0004	8/1/18
BPM Prospective Rider	-0.0078	-0.0078	7/1/18
BPM True-Up Rider	0.0067	0.0067	7/1/18
TOTAL cents/kWh	**0.4362**	**0.5127**	

Schedule HP – Industrial	cents/kWh Baseline	cents/kWh Incremental	Effective Date
EDIT-1 Rider	-0.1049	-0.1049	8/1/18
Fuel Cost Adjustment Rider	-0.0712	0.0000	8/1/18
Energy Efficiency Rider	0.6238	0.6238	1/1/18
Existing DSM Program Costs Adjustment Rider	-0.0055	-0.0055	7/1/18
Coal Inventory Rider	0.0004	0.0004	8/1/18
BPM Prospective Rider	-0.0078	-0.0078	7/1/18
BPM True-Up Rider	0.0067	0.0067	7/1/18
TOTAL cents/kWh	**0.4415**	**0.5127**	

* Qualifying customers who have opted out of the Company's Energy Efficiency and/or Demand Side Management Programs are not subject to the applicable Energy Efficiency Rider charges based on the individual customer's opt-out election. Refer to Rider EE to determine the Rider EE amount, if any applicable to customers who have opted out.

OFFICIAL COPY

Jul 31 2018

CERTIFICATE OF SERVICE

I certify that a copy of Duke Energy Carolinas, LLC's Revised Fuel Cost Adjustment Rider and Summary of Rider Adjustments, in Docket No. E-7, Sub 1146, has been served by electronic mail, hand delivery or by depositing a copy in the United States mail, postage prepaid to the following parties:

David Drooz, Chief Counsel
Dianna Downey, Counsel
Lucy Edmondson, Counsel
Public Staff
North Carolina Utilities Commission
4326 Mail Service Center
Raleigh, NC 27699-4326
david.drooz@psncuc.nc.gov
dianna.downey@psncuc.nc.gov
lucy.edmondson@psncuc.nc.gov

Ralph McDonald
Warren Hicks
Bailey & Dixon, LLP
Counsel for CIGFUR
PO Box 1351
Raleigh, NC 27602-1351
rmcdonald@bdixon.com
whicks@bdixon.com

Jennifer T. Harrod, Special Deputy Attorney General
Margaret Force, Assistant Attorney General
Teresa L. Townsend, Assistant Attorney General
NC Department of Justice
P O Box 629
Raleigh, NC 27602-0629
pforce@ncdoj.gov
ttownsend@ncdoj.gov
jharrod@ncdoj.gov

Peter H. Ledford
NC Sustainable Energy Association
4800 Six Forks Road, Suite 300
Raleigh, NC 27609
peter@energync.org

Sharon Miller
Carolina Utility Customers Assoc.
1708 Trawick Road, Suite 210
Raleigh, NC 27604
smiller@cucainc.org

Robert Page
Counsel for CUCA
Crisp, Page & Currin, LLP
4010 Barrett Drive, Ste. 205
Raleigh, NC 27609-6622
rpage@cpclaw.com

John Runkle, Attorney
Counsel for NC WARN
2121 Damascus Church Rd.
Chapel Hill, NC 27516
jrunkle@pricecreek.com

Alan R. Jenkins
Jenkins At Law, LLC
2950 Yellowtail Ave.
Marathon, FL 33050
aj@jenkinsatlaw.com

OFFICIAL COPY
Jul 31 2018

Glen C. Raynor
Young Moore and Henderson, PA
P.O. Box 31627
Raleigh, NC 27627
gcr@youngmoorelaw.com

Sarah Collins
NC League of Municipalities
PO Box 3069
Raleigh, NC 27602
scollins@nclm.org

Michael Colo
Christopher S. Dwight
Counsel for ASU
Poyner Spruill LLP
P.O. Box 353
Rocky Mount, NC 27802
mscolo@poynerspruill.com
cdwight@poynerspruill.com

B. L. Krause
Appalachian State Univ.
PO Box 32126
Boone, NC 28608
krausebl@appstate.edu

F. Bryan Brice, Jr.
The City of Kings Mountain
Law Offices of F. Bryan Brice, Jr.
127 W. Hargett St., Ste. 600
Raleigh, NC 27602
bryan@attybryanbrice.com

Stephen Hamlin
Piedmont EMC
PO Drawer 1179
Hillsborough, NC 27278
steve.hamlin@pemc.coop

Thomas Batchelor
Haywood Electric Membership Corp.
376 Grindstone Road
Waynesville, NC 28785
tom.batchelor@haywoodemc.com

Ben M. Royster
Royster & Royster
851 Marshall Street
Mt. Airy, NC 27030
benroyster@roysterlaw.com

Mona Lisa Wallace
John Hughes
Marlowe Rary
Wallace & Graham PA
525 N. Main St.
Salisbury, NC 28144
mwallace@wallacegraham.com
jhughes@wallacegraham.com
mrary@wallacegraham.com

H. Julian Philpott, Jr.
NC Farm Bureau Federation, Inc.
PO Box 27766
Raleigh, NC 27611
julian.philpott@ncfb.org

Douglas W. Johnson
Blue Ridge EMC
1216 Blowing Rock Blvd, NE
Lenoir, NC 28645-0112
djohnson@blueridgeemc.com

Nickey Hendricks, Jr.
City of Kings Mountain
P.O. Box 429
Kings Mountain, NC 28086
nickh@cityofkm.com

OFFICIAL COPY

Jul 31 2018

Kurt J. Boehm
Jody Kyler Cohn
Boehm, Kurtz & Lowry
36 E. Seventh St., Suite 1510
Cincinnati, OH 45202
kboemn@BKLlawfirm.com
jkyler@BKLlawfirm.com

Marcus Trathen
Brooks, Pierce, McLendon, Humphrey & Leonard, LLP
150 Fayetteville St., Suite 1700
Raleigh, NC 27601
mtrathen@brookspierce.com

Jim W. Phillips
Brooks, Pierce, McLendon, Humphrey & Leonard, LLP
230 N. Elm Street
Greensboro, NC 27401
jphillips@brookspierce.com

Karen M. Kemerait
Deborah Ross
Smith Moore Leatherwood LLP
434 Fayetteville St., Suite 2800
Raleigh, NC 27601
karen.kemerait@smithmoorelaw.com
deborah.ross@smithmoorelaw.com

Bridget Lee
Dorothy Jaffe
Sierra Club
50 F Street NW, Floor 8
Washington, DC 20001
bridget.lee@sierraclub.org
dori.jaffe@sierraclub.org

Joseph H. Joplin
Rutherford EMC
PO Box 1569
Forest City, NC 28-43-1569
jjoplin@remc.com

John J. Finnigan, Jr.
Environmental Defense Fund
128 Winding Brook Lane
Terrace Park, OH 45174
jfininigan@edf.org

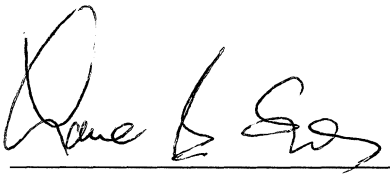
Daniel Whittle
Environmental Defense Fund
4000 Westchase Blvd, Suite 510
Raleigh, NC 27607-3965
dwhittle@edf.org

Bob Pate
City of Concord
PO Box 308
Concord, NC 28026
bpage@ci.concord.nc.us

Sherri Zann Rosenthal
City of Durham
101 City Hall Plaza
Durham, NC 27701
sherrizann.rosenthal@durhamnc.gov

David Neal
Gudrun Thompson
Southern Environmental Law Center
601 W. Rosemary Street, Suite 220
Chapel Hill, NC 27516
dneal@selcnc.org
gthompson@selcnc.org

This the 31st day of July, 2018.



Lawrence B. Somers
Deputy General Counsel
Duke Energy Corporation
P.O. Box 1551/NCRH 20
Raleigh, North Carolina 27602
(919) 546-6722
bo.somers@duke-energy.com

OFFICIAL COPY
Jul 31 2018